

Unit 3: Business Finance

Level: **3**

Unit type: **Internal**

Guided learning hours: **90**

Unit in brief

Learners develop the skills and knowledge required to analyse and interpret financial data, enabling them to assess the financial health of a business and suggest how its performance can be improved.

Unit introduction

Business finance enables a business organisation to operate on a day-to-day basis, and over the long term, develop new products and invest in new equipment in order to access new markets. Decisions relating to business finance require careful planning and monitoring, which involve deciding where to obtain the finance, calculating business costs, and understanding how to evaluate and improve the overall performance of a business.

In this unit, you will consider the importance of business finance and the types of business finance available in different contexts. The unit will introduce you to accounting terminology, the purpose and importance of business accounts, and the different sources of finance available to businesses. You will prepare and analyse business finance planning tools such as cash flow forecasts and break-even analyses. Measuring the financial performance of an organisation will require you to prepare and analyse statements of comprehensive income, and statements of financial position, in relation to the organisation's profitability, efficiency and liquidity.

This unit will give you a background to business finance and accounting as you progress to employment and further training.

Learning aims

In this unit you will:

- A** Explore types of business finance available at different stages in the growth of a business
- B** Understand how financial planning tools can be used to analyse financial data and assess business risks
- C** Understand how financial statements for a sole trader are prepared and used to analyse and evaluate business performance.

Summary of unit

Learning aim	Key content areas	Assessment approach
A Explore types of business finance available at different stages in the growth of a business	A1 Sources of finance A2 Sources of revenue A3 Business finance and types of business	A report identifying the sources of finance applicable in different business scenarios.
B Understand how financial planning tools can be used to analyse financial data and assess business risks	B1 Cash flow forecasts and statements B2 Break-even analysis B3 Business risks	Present financial information on behalf of a sole trader which analyses the performance of the business, identifies current business risks and suggests ways in which business performance could be improved.
C Understand how financial statements for a sole trader are prepared and used to analyse and evaluate business performance	C1 Statement of comprehensive income C2 Statement of financial position C3 Measuring performance using financial ratios C4 Preparation of financial performance reports	

Content

Learning aim A: Explore types of business finance available at different stages in the growth of a business

A1 Sources of finance

Features of the main sources of internal and external business finance and their advantages and disadvantages.

- Internal sources of finance, including owner's capital, retained profit and the sale of assets.
- The importance of net current assets.
- External sources of finance distinguished between long-term, medium-term and short-term:
 - long-term sources of finance, including mortgages, shares and debentures
 - medium-term sources of finance, including leasing, hire purchase, bank loans, peer-to-peer lending and venture capital
 - short-term sources of finance, including bank overdrafts, crowdfunding, debt factoring, invoice discounting and trade credit.

A2 Sources of revenue

Features of the main sources of revenue received by a business and factors that influence the amount received from each source of revenue.

- Revenue received from selling activities, including cash sales and credit sales.
- Revenue received from supplementary activities, including rental income, interest payments on deposits and commission received (e.g. social media).

A3 Business finance and types of business

The relationship between business finance and the characteristics of a business, its objectives and the stage in its development.

- Types of business and the stages in their development to include: start-up, sole trader partnerships, private and public limited companies.
- Business objectives to include: expansion, product development, market development and relocation.

Learning aim B: Understand how financial planning tools can be used to analyse financial data and assess business risks

B1 Cash flow forecasts and statements

Methods and processes used to prepare, complete, revise and analyse cash flow forecasts and statements of cash flow.

- The importance of cash flow.
- Inflows/receipts and outflows/payments.
- The difference between a cash flow forecast and a statement of cash flow.
- Analysis of cash flow forecasts and statements.
- Actions that can be taken by a business to address cash flow difficulties.
- Benefits and limitations of cash flow forecasts.

B2 Break-even analysis

Methods and processes used to prepare, complete, revise and analyse a break-even chart.

- Distinguishing between types of cost: fixed, variable, semi-variable.
- Sales: calculations of total revenue from output and sales per unit.
- Constructing a break-even chart from given data to determine the break-even point and the margin of safety.
- Calculating the margin of safety and the break-even point using the break-even formula (units and/or sales value).
- Calculation of total contribution, contribution per unit benefits and limitations.
- The implications of contribution analysis for short-term decision making.
- Benefits and limitations of break-even analysis.

B3 Business risks

Assessment of financial risks using cash flow and break-even analysis.

- Risks related to costs (fixed costs, variable costs, semi-variable, total costs), including changes in suppliers, changes in the cost of imported materials, factors impacting labour costs.
- Risks related to cash inflows and revenue streams (changes in market conditions, overambitious forecasts, changes in economic conditions including interest rates).

Learning aim C: Understand how financial statements for a sole trader are prepared and used to analyse and evaluate business performance

C1 Statement of comprehensive income

Methods and processes used to prepare, complete, revise and analyse a statement of comprehensive income for a sole trader.

- Purpose and use of a statement of comprehensive income.
- Completion, calculation and amendment to include gross profit (revenue, opening inventories, purchases, closing inventories, cost of goods sold), calculation of profit/loss for the year (expenses, other income).
- Adjustments in a statement of comprehensive income for depreciation using both the straight line and reducing balance methods.

C2 Statement of financial position

Methods and processes used to prepare, complete, revise and analyse a statement of comprehensive income for a sole trader.

- The purpose and use of a statement of financial position.
- Completion, calculation and amendment of a statement of financial position of a sole trader to include: non-current assets (tangible and intangible, cost, depreciation and amortisation, net book value), current assets (inventories, trade receivables, prepayments, bank, cash), current liabilities (bank overdraft, accruals, trade payables).
- Non-current liabilities (bank loan and mortgage).
- Adjustments in a statement of financial position for depreciation, prepayments and accruals.

- Accounting for changes in capital, including opening capital, transfer of profit or loss and drawings.
- Extracting financial data from a statement of financial position to determine net current assets/liabilities, capital employed.

C3 Measuring performance using financial ratios

Methods and processes used to analyse financial statements against financial targets.

- Measuring profitability: calculation, interpretation, analysis and evaluation of:
 - gross profit margin – $(\text{gross profit}/\text{revenue}) \times 100$
 - mark-up – $(\text{gross profit}/\text{cost of sales}) \times 100$
 - net profit margin – $(\text{net profit}/\text{revenue}) \times 100$
 - return on capital employed (ROCE) – $(\text{profit}/\text{capital employed}) \times 100$.
- Measuring liquidity: calculation, interpretation, analysis and evaluation of:
 - current ratio – $\text{current assets}/\text{current liabilities}$
 - liquid capital ratio – $(\text{current assets} - \text{inventory})/\text{current liabilities}$.
- Measuring efficiency: calculation, interpretation, analysis and evaluation of:
 - trade receivable days – $(\text{trade receivable}/\text{credit sales}) \times 365$
 - trade payable days – $(\text{trade payables}/\text{credit purchases}) \times 365$
 - inventory turnover – $(\text{average inventory}/\text{cost of sales}) \times 365$
 - comparative analysis of business performance against own performance, competitors and industry benchmarks
 - actions taken by a business to improve its profitability, liquidity and efficiency and the benefits and limitations of such actions.
- Limitations of ratios when assessing business performance.

C4 Preparation of financial performance reports

Importance of using a business report format for the presentation of financial performance review outcomes.

- Format, layout:
 - title and details of the report
 - introduction
 - set of calculations based on the financial data provided for the business
 - risks faced by the business based on financial data provided by the business and the previous decisions it has taken
 - analysis of the performance of the business
 - conclusions
 - recommendations.

Assessment criteria

Pass	Merit	Distinction
Learning aim A: Explore types of business finance available at different stages in the growth of a business		A.D1 Evaluate appropriate types of business finance applicable in a specific business context.
A.P1 Explain sources and suitability of finance available in different business contexts. A.P2 Explain sources and suitability of revenue available in a specific business context.	A.M1 Analyse the types of business finance required in a specific business context.	
Learning aim B: Understand how financial planning tools can be used to analyse financial data and assess business risks		B.D2 Evaluate the impact of different factors that impact on financial risks in a given business context.
B.P3 Explain the purpose of financial planning tools in reviewing financial data in a specific business context. B.P4 Perform appropriate calculations using financial planning tools to identify financial risks in a specific business context.	B.M2 Analyse the factors that impact on financial risks in a specific business context.	
Learning aim C: Understand how financial statements for a sole trader are prepared and used to analyse and evaluate business performance		C.D3 Justify recommendations for improvements to business performance for a sole trader, arising from own preparation and interpretation of business financial data.
C.P5 Prepare and interpret financial statements for sole trader businesses. C.P6 Explain ways to improve profitability, liquidity and efficiency in a given business context.	C.M3 Assess business performance of a sole trader by manipulating financial data and making suggestions for improving business performance.	

Essential information for assignments

The recommended structure of assessment is shown in the unit summary, along with suitable forms of evidence. *Section 6 Internal assessment* gives information on setting assignments and there is also further information on our website.

There is a maximum number of three summative assignments for this unit.

The relationship of the learning aims and criteria is:

Learning aim: A (A.P1, A.P2, A.M1, A.D1)

Learning aim: B (B.P3, B.P4, B.M2, B.D2)

Learning aim: C (C.P5, C.P6, C.M3, C.D3)

Further information for teachers and assessors

Resource requirements

For this unit, learners must have access to a range of current business information from websites and printed resources.

Essential information for assessment decisions

Learning aim A

To complete this assignment learners must ensure they select businesses which give them the depth of information they will need. The choice of business will be individual and not teacher led.

For Distinction standard, you will expect learners to individually prepare a report which incorporates an extensive evidence drawn from relevant sources evaluating how far different types of business finance meet the requirements of specific businesses. Careful consideration is given to the weighting of all relevant factors, including advantages and disadvantages and the associated business risks, to present a reasoned and logical evaluation of the factors involved in determining the most appropriate types of business finance in different contexts.

For Merit standard, you will expect learners to show that they have selected a wide range of relevant research sources and applied their knowledge and understanding of business finance in order to identify the similarities and differences in approach to securing business finance in different business contexts. Learners will consider how different types of business finance can be accessed by businesses operating at different stages in their development or in different sectors. For example, a new on-line business start-up may be able to access crowdfunding while an SME operating as a sole-trader or a partnership could consider converting to a limited company. Learners would highlight the main factors which would need to be considered when presenting their recommendations.

For Pass standard, you will expect learners to clearly identify the main features of different types of business finance. You will expect learners to show how these features can influence the decisions of businesses at different stages in their development. For example, the relative size of the business, the cost of business finance and access to specific types of business finance could be considered in relation to different types of businesses depending upon their size, business objectives, products and the sector in which they operate. Learners would be able to distinguish between sources of business finance and sources of business revenue.

Learning aims B and C

For Distinction standard, you will expect learners to present a financial report which contains an in-depth analysis drawn from the financial forecasts they have prepared from cash flow and break-even data. The analysis will clearly identify the potential risks to the business from these forecasts and detail the actions that could be taken by the business to address these risks. Financial statements will be prepared accurately and presented in a professionally-accepted format and learners will extract relevant data from these statements to analyse business performance relating to profitability, efficiency and effectiveness.

For Merit standard, you will expect learners to prepare accurate cash flow forecasts and break-even charts with a broad range of conclusions based upon their analysis of the forecasts they have prepared. Financial statements will be accurately prepared in a vertical format and the learner will use financial ratios to analyse business performance. Recommendations will be logically consistent with the outcome of the ratio analysis.

For Pass standard, you will expect learners to explain the purpose of cash flow forecasts and break-even analysis and provide evidence of calculations completed from data extracted from financial forecasts. Learners show an understanding of the main components of the financial statements and how they can be used to measure business performance. Recommendations relating to improvements in business performance will focus upon a narrow range of options.

Links to other units

This unit links to *Unit 1 Exploring Business*.

Opportunities to develop transferable employability skills

In completing this unit, learners will have the opportunity to develop skills in analysing and interpreting financial data.

